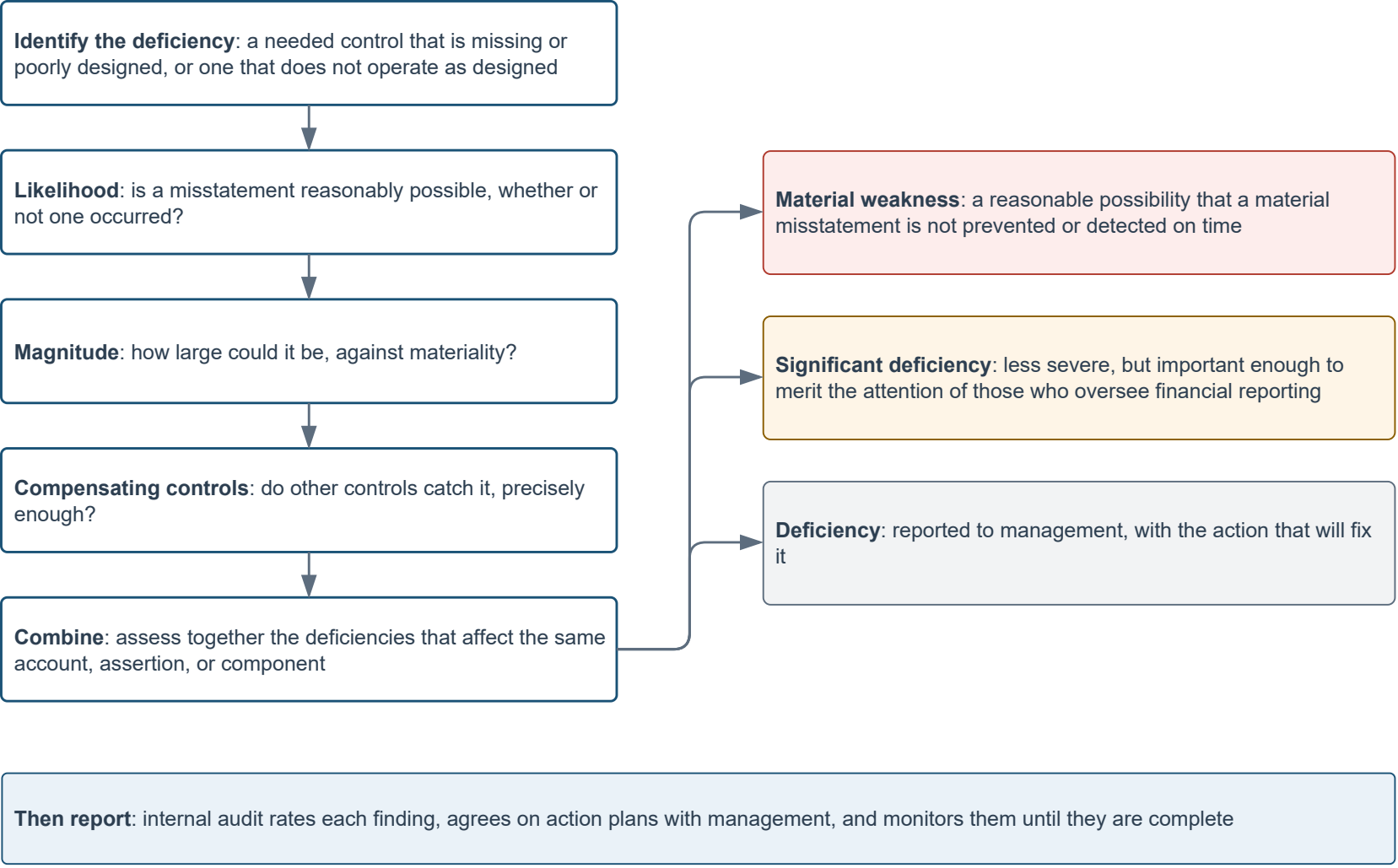
Identify the deficiency: a needed control that is missing or poorly designed, or one that does not operate as designed
Likelihood: is a misstatement reasonably possible, whether or not one occurred?
Magnitude: how large could it be, against materiality?
Compensating controls: do other controls catch it, precisely enough?
Combine: assess together the deficiencies that affect the same account, assertion, or component
Material weakness: a reasonable possibility that a material misstatement is not prevented or detected on time
Significant deficiency: less severe, but important enough to merit the attention of those who oversee financial reporting
Deficiency: reported to management, with the action that will fix it
Then report: internal audit rates each finding, agrees on action plans with management, and monitors them until they are complete